Electric Cooperative Infrastructure Intelligence

Market Assessment Briefing

ID **Assessment ID:**
COF-101A-MA-2026-001

GEO **Geographic Focus:**
TX & CFC District 10

STATE **Lifecycle State:**
Investigating

DATE **Date:**
August 2, 2026

OWNER **Assessment Owner:**
Ricky Jarnagin / Sirius Logic Systems

The Preliminary Outcome is VALIDATE

The Observation

The electric cooperative market is massive, bounded, and strategically aligned. It carries a disproportionate share of U.S. rural infrastructure.

The Friction

Evidence is lacking. Direct buyer verification, willingness to pay, procurement pathways, and a definitive pilot structure are currently insufficient for a "Pursue" decision.

The Action

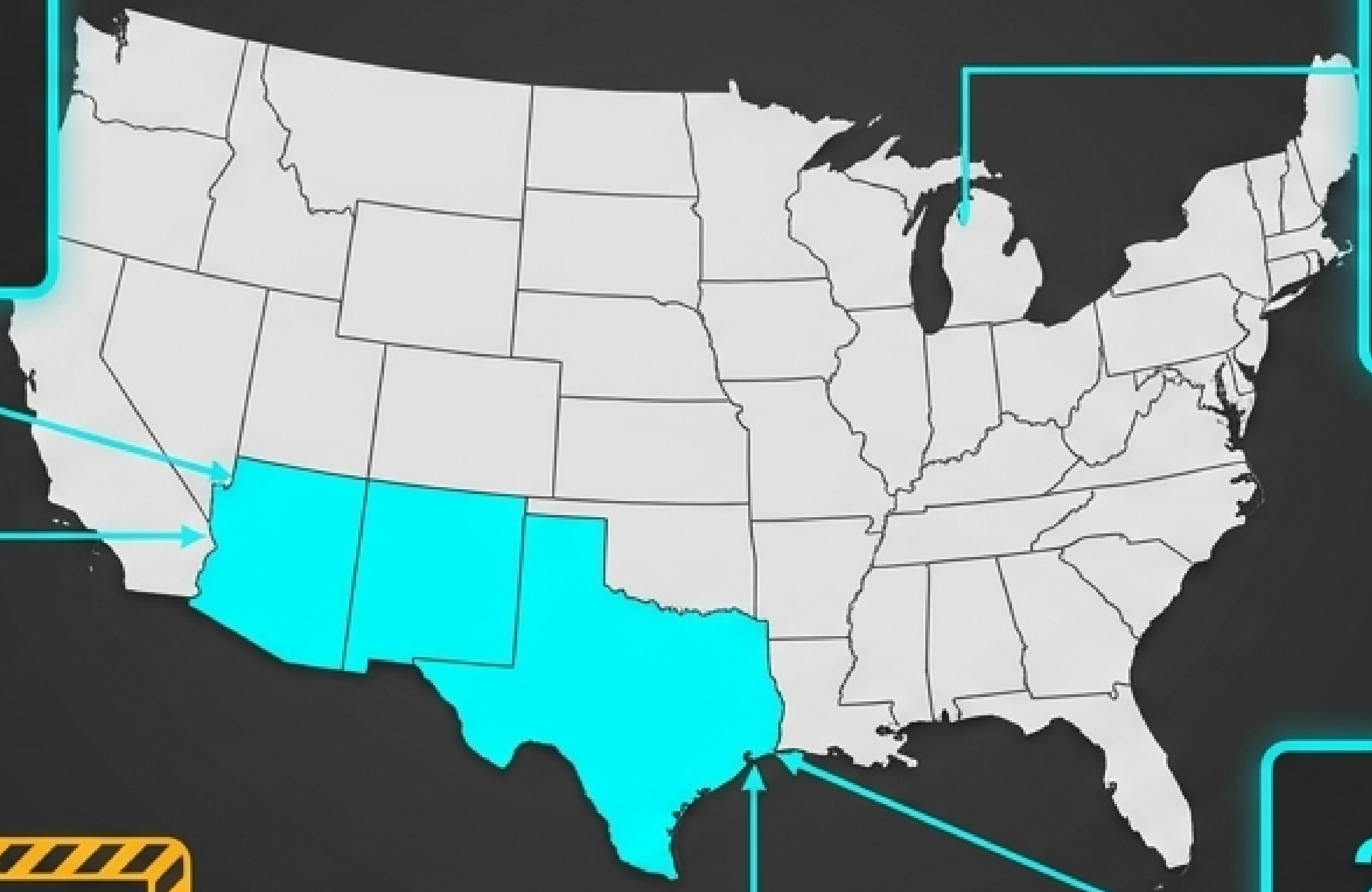
Execute a bounded 30-day customer-discovery sprint focused on Texas and ecosystem participants.

The market is credible enough for focused validation, but not yet mature enough for product build-out or broad sales outreach.

Defining the Cooperative Market Boundary

890 Total Cooperatives
(830 distribution, 60 G&T)

42 Million People Served
(across 23 million service locations in 48 states)



2.7 Million Miles of Distribution Line
(42% of the U.S. total)

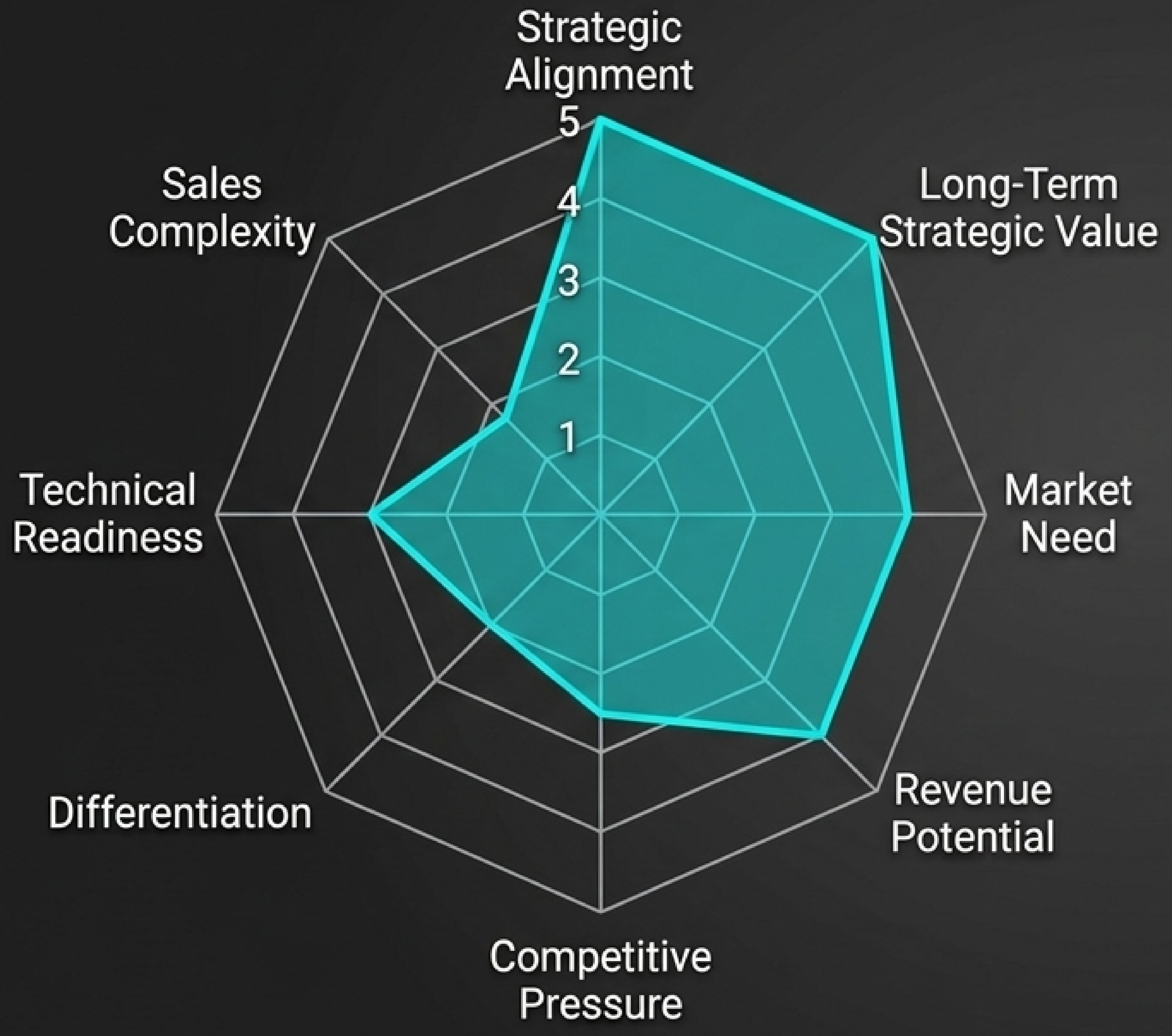
EXCLUDED: Investor-owned utilities, municipal utilities, generation-only entities.

The Structural Economic Pressure

	Electric Co-ops	Rest of Industry
Asset Density	8.7 customers per mile	38.9 customers per mile
Economic Yield	$22,775 revenue per mile	$111,533 revenue per mile

Low density + high asset footprint = Severe structural pressure to improve field efficiency, capital planning, and operational visibility.

COF-101A Criterion Scorecard: 29/40



Strengths

Strategic Alignment (5/5)
Long-Term Strategic Value (5/5)
Market Need (4/5)
Revenue Potential (4/5)

Friction Points

Sales Complexity (2/5)
Technical Readiness (3/5)
Differentiation (3/5)
Competitive Pressure (3/5)

Weighing Alignment Against Operational Friction

Why We Care (Alignment)

- Perfect fit with AnchorOS, AnchorFiber, and S.P.A.T.I.A.L.
- Massive reuse potential across utilities and adjacent broadband markets.
- Strong alignment with evidence-driven infrastructure operations.

Why We Pause (Friction)

- High sales complexity driven by board governance and conservative operations.
- Established incumbent utility vendors and integrators already exist.
- SLS currently lacks cooperative references and a proven pilot framework.

The Evidence Gap: Verified Reality vs. Strategic Assumptions

Verified Reality

[EV-001] Market governance structure and board dynamics.

[EV-004] Scale of infrastructure (2.7M miles).

[EV-006] Extreme economic and operational pressure.

[EV-007] NRECA ecosystem access and program structure.

Crucial Unknowns

[EV-013] Will Texas cooperatives pay for a diagnostic from SLS?

[EV-014] Can SLS integrate smoothly with legacy GIS, OMS, and work-management systems?

[EV-012] Is there a single, repeatable product solution to their data fragmentation?

Pursuit Gate Status: Progression Blocked

Market Need (>=3) [PASS]

Strategic Alignment (>=3) [PASS]

No criterion scored 0 [PASS]

[FAIL] Credible buyer confirms problem directly.

Plausible path to pilot or paid assessment. [FAIL]

Status: **INVESTIGATING**. We cannot advance to 'PURSUE' until the failing gates are cleared with direct market evidence.

The 30-Day Validation Sprint

Sprint Rules of Engagement & Interview Strategy

DO / DO NOT

- ❌ **DO NOT** pitch finished products (like AnchorFiber).
- ❌ **DO NOT** ask if they “like” our platform.
- ✅ **DO** seek recent examples of costly friction.
- ✅ **DO** focus on discovery and workflow realities.

Core Investigative Themes

1. **System Seams**: Where do field records, GIS, and work orders fail to agree?

2. **Time Sinks**: Which inspections consume the most engineering time?

3. **Decision Delays**: What missing evidence creates avoidable truck rolls?

4. **Capital Justification**: How are maintenance priorities defended to boards?

Candidate Pilot Hypotheses

1 Infrastructure Documentation

Assess GIS vs. work-order mismatches to identify process bottlenecks.

2 Fiber & Comms Asset Intel

Inventory a limited fiber route to test documentation quality.

3 Field-to-Office Workflow

Capture and reconcile evidence for a single inspection workflow.

4 Capital Prioritization

Combine operational risk and cost evidence for one capital-planning decision.

No pilot will be selected until interviews prove the target problem is recurring, expensive, and measurable within a short engagement.

Top Structural Risks & Mitigation Protocols

Impact

Risk [R-001]: Building before customer validation.
Mitigation: Freeze major product expansions until pilot scope is validated.

Risk [R-002]: Long utility procurement cycles.
Mitigation: Lead strictly with research and tightly scoped paid assessments.

Risk [R-005]: Cybersecurity & Critical Infrastructure barriers.
Mitigation: Design strict data handling and deployment constraints prior to any pilot.

Likelihood

Reassessment & Strict Exit Triggers

September 2, 2026
Reassessment

ADVANCE TO PURSUE

- 5 qualified interviews completed.
- Direct buyer validates willingness to pay.
- Cooperative agrees to evaluate a defined pilot concept.

ABORT / HOLD

- No repeatable, expensive problem identified.
- Heavy custom enterprise integration required for initial value.
- Buyers refuse to fund a paid assessment or pilot.

Strategic Recommendation & Executive Ask

THE RECOMMENDATION

Authorize the 30-day market-validation sprint focusing initially on Texas and District 10. Maintain 'Investigating' state.

EXPLICIT CONSTRAINTS

- **DO NOT** authorize AnchorFiber build.
- **DO NOT** authorize enterprise integration programs.
- **DO NOT** authorize mass outbound sales campaigns.

Action Required: Executive Sponsor approval to initiate sprint.

Next Formal Review Date: September 2, 2026.